

Japan Exchange Group, Inc. and Consolidated Subsidiaries

Consolidated financial results for the year ended March 31, 2014, unaudited

Company name: **Japan Exchange Group, Inc.**
 Code number: 8697 URL: <http://www.jpx.co.jp/en/index.html>
 Stock Exchange Listings: Tokyo
 Representative: Atsushi Saito, Director & Representative Executive Officer, Group CEO
 Contact: Akira Tagaya, Director, Corporate Communications
 Scheduled date of annual general shareholders meeting: June 17, 2014
 Scheduled date of start of dividend payment: May 28, 2014
 Scheduled date of filing of annual securities report: June 11, 2014
 Preparation of earnings presentation material: Yes
 Holding of earnings announcement: Yes (For institutional investors and analysts)

1. Consolidated Financial Results for the year ended March 31, 2014 (April 1, 2013 to March 31, 2014)

(Figures less than a million yen are discarded)

(1) Operating results

(Percentages represent year-on-year change)

	Operating revenue		Operating income		Ordinary income		Net income	
	million yen	%	million yen	%	million yen	%	million yen	%
Year ended March 31, 2014	116,251	62.1	51,120	161.4	52,801	144.1	29,835	172.7
Year ended March 31, 2013	71,708	—	19,555	—	21,631	—	10,941	—

(Note)

Comprehensive income:

Year ended March 31, 2014: ¥28,990 million / 86.4% Year ended March 31, 2013: ¥15,550 million / —%

	Net income per share	Diluted net income per share	Return on equity	Ratio of ordinary income to total assets	Ratio of operating income to operating revenue
	yen	yen	%	%	%
Year ended March 31, 2014	108.68	—	16.0	3.9	44.0
Year ended March 31, 2013	64.59	—	6.2	1.7	27.3

(Reference)

Share of profit (loss) of entities accounted for using equity method:

Year ended March 31, 2014: ¥55 million

Year ended March 31, 2013: ¥395 million

* Due to a 5-for-1 stock split which was conducted with an effective date of October 1, 2013, the net income per share and the net assets per share are calculated as if such stock split was implemented at the beginning of the previous consolidated accounting year.

(2) Financial position

	Total assets	Total net assets	Equity capital ratio	Net assets per share
	million yen	million yen	%	yen
As of March 31, 2014	1,403,713	202,018	14.0	715.19
As of March 31, 2013	1,276,386	179,077	13.8	643.01

(Reference)

Shareholders' equity:

As of March 31, 2014: ¥196,342 million

As of March 31, 2013: ¥176,529 million

*Clearing deposit money, etc. based on various rules which secure the safety of securities trading, etc. are recorded as the JPX group's assets and liabilities. Clearing deposit money, etc. are large in amount and fluctuate daily and, as a result, the above amounts are significantly impacted by such fluctuations. For the consolidated financial position of the JPX group excluding clearing deposit money, etc., please refer to page 6 "1. QUALITATIVE INFORMATION ON OPERATING RESULTS AND FINANCIAL POSITION, (2) Explanation on Financial Position" of the Appendix.

(3) Cash flows

	Net cash provided by (used in) operating activities	Net cash provided by (used in) investing activities	Net cash provided by (used in) financing activities	Cash and cash equivalents at end of period
	million yen	million yen	million yen	million yen
Year ended March 31, 2014	62,722	30,035	(71,362)	50,713
Year ended March 31, 2013	23,928	(109,659)	87,248	29,308

2. Dividends

	Dividends per share					Total cash dividends	Dividend payout ratio	Ratio of dividends to net assets
	First quarter	Second quarter	Third quarter	Fiscal year end	Annual			
	yen	yen	yen	yen	yen	million yen	%	%
Year ended March 31, 2013	—	—	—	80.00	80.00	4,392	24.8	2.5
Year ended March 31, 2014	—	80.00	—	27.00	—	11,804	39.6	6.3
Year ending March 31, 2015 (Forecast)	—	18.00	—	18.00	36.00		47.1	

* Dividends payout ratio is calculated based on the average number of shares outstanding (33,881,156 shares) during the period from April 1, 2012 to March 31, 2013, which includes the period before the business combination. Based on the average number of shares outstanding (54,906,910 shares) during the period after the business combination from January 1, 2013 to March 31, 2013, the dividends payout ratio will be 40.1 %.

A 5-for-1 stock split was conducted with an effective date of October 1, 2013. Dividends for the year ended March 31, 2013 and the end of the second quarter of the year ended March 31, 2014 are actual amounts before said stock split. The dividend payout ratio (consolidated) and the ratio of dividends to net assets (consolidated) for the year ended March 31, 2014 are calculated based on the assumption that said stock split was conducted at the beginning of the consolidated accounting year.

JPX is scheduled to adopt International Financial Reporting Standards (hereafter "IFRS") to its financial reports from the year-end earnings results for the year ending March 31, 2015. The dividend forecasts for said fiscal period were calculated based on net income of ¥24.5 billion with impact from IFRS adoption, and the corresponding dividend payout ratio is 40.3%. For the consolidated earnings forecast calculated with impact from IFRS adoption, please refer to page 8 "1. QUALITATIVE INFORMATION ON OPERATING RESULTS AND FINANCIAL POSITION, (3) Explanation on Forecast Information such as Consolidated Earnings Forecast, etc., (i) Consolidated Earnings Forecast".

3. Forecast for the Fiscal Year ending March 31, 2015 (April 1, 2014 to March 31, 2015)

(Percentages represent year-on-year change)

	Operating revenue		Operating income		Ordinary income		Net income		Net income per share
	million yen	%	million yen	%	million yen	%	million yen	%	yen
For Year ending March 31, 2015	93,000	(20.0)	34,500	(32.5)	36,500	(30.9)	21,000	(29.6)	76.49

* The above consolidated forecast is based on the Japanese standards. JPX is scheduled to adopt IFRS from the year-end earnings results for the year ending March 31, 2015. If the forecast were to be calculated with impact from IFRS adoption, each income figure is expected to increase by ¥3.5 billion, resulting in net income of ¥24.5 billion. For the consolidated earnings forecast calculated with impact from IFRS adoption, please refer to page 8 "1. QUALITATIVE INFORMATION ON OPERATING RESULTS AND FINANCIAL POSITION, (3) Explanation on Forecast Information such as Consolidated Earnings Forecast, etc., (i) Consolidated Earnings Forecast".

* Notes

(1) Changes in significant subsidiaries during the period (Changes in specified subsidiaries that caused changes in the scope of consolidation): None

(2) Changes in accounting policies / changes in accounting estimates / restatements

1) Changes pursuant to revision of accounting policies: Yes

2) Changes other than the above: None

3) Changes in accounting estimates: Yes

4) Restatements: None

(3) Number of issued shares (common stock)

1) Number of issued shares at the end of the period (including treasury shares):

As of March 31, 2014: 274,534,550 shares

As of March 31, 2013: 274,534,550 shares

2) Number of treasury shares at the end of period:

As of March 31, 2014: 2,655 shares

As of March 31, 2013: — shares

3) Average number of shares:

Twelve months ended March 31, 2014: 274,533,089 shares

Twelve months ended March 31, 2013: 169,405,780 shares

(Reference) Overview of non-consolidated financial results

Non- Consolidated Financial Results for the year ended March 31, 2014

(1) Operating results

(Percentages indicate year-on-year change)

	Operating revenue		Operating income		Ordinary income		Net income	
	million yen	%	million yen	%	million yen	%	million yen	%
Year ended March 31, 2014	12,248	(34.3)	7,068	26.0	8,444	32.8	7,380	102.9
Year ended March 31, 2013	18,643	—	5,612	—	6,358	—	3,637	—

	Net income per share	Diluted net income per share
	yen	yen
Year ended March 31, 2014	26.88	—
Year ended March 31, 2013	21.47	—

*Results for the preceding fiscal year state the total of Osaka Securities Exchange Co., Ltd. results for the nine months from April 1, 2012 to December 31, 2012 and Japan Exchange Group, Inc. results during the fourth quarter (from January 1, 2013 to March 31, 2013). Additionally, due to a 5-for-1 stock split which was conducted with an effective date of October 1, 2013, the net income per share and the net assets per share are calculated as if such stock split was implemented at the beginning of the preceding fiscal year.

(2) Financial position

	Total assets	Total net assets	Equity capital ratio	Net assets per share
	million yen	million yen	%	yen
As of March 31, 2014	165,956	81,221	48.9	295.86
As of March 31, 2013	193,658	83,714	43.2	304.93

(Reference)

Shareholders' equity:

As of March 31, 2014: ¥81,221 million

As of March 31, 2013: ¥83,714 million

*Disclosure regarding implementation status for auditing procedures

This release is outside the scope of the external auditor's review procedure which is required by the Financial Instruments and Exchange Act. Therefore, the review process has not been completed as of this disclosure in this release.

*Explanation of appropriate use of forecast and other special items

This material contains earnings forecast and other forward-looking statements which are based on available information and certain assumptions that are considered reasonable at the time of preparation. Various factors may cause actual results, etc. to be materially different from those expressed in these forward-looking statements.

DISCLAIMER: This translation may be used for reference purposes only. This English version is not an official translation of the original Japanese document. In cases where any differences occur between the English version and the original Japanese version, the Japanese version shall prevail. This translation is subject to change without notice. Japan Exchange Group, Inc., and/or its affiliates shall individually or jointly accept no responsibility or liability for damage or loss caused by any error, inaccuracy, misunderstanding, or changes with regard to this translation.

(Appendix)

Contents of Appendix

1. QUALITATIVE INFORMATION ON OPERATING RESULTS AND FINANCIAL POSITION ...	2
(1) Explanation on Operating Results ...	2
(2) Explanation on Financial Position ...	6
(3) Explanation on Forecast Information such as Consolidated Earnings Forecast, etc. ...	8
2. INFORMATION REGARDING CORPORATE GROUP...	9
3. MANAGEMENT POLICIES...	10
4. CONSOLIDATED FINANCIAL STATEMENTS ...	11
(1) Consolidated Balance Sheets ...	11
(2) Consolidated Statements of Income and Consolidated Statements of Comprehensive Income ...	13
(3) Consolidated Statements of Change in Equity...	15
(4) Consolidated Statements of Cash Flows...	17
(5) Notes on Consolidated Financial Statements...	18

1. QUALITATIVE INFORMATION ON OPERATING RESULTS AND FINANCIAL POSITION

(1) Explanation on Operating Results

Japan Exchange Group, Inc. (hereinafter "JPX") was established on January 1, 2013 through a business combination between Tokyo Stock Exchange Group, Inc. (hereinafter "the former TSE Group") and Osaka Securities Exchange Co., Ltd. (hereinafter "the former OSE"). Due to the deemed date of acquisition of the former OSE by the former TSE Group being September 30, 2012, the consolidated results of the JPX group during the previous fiscal year ended March 31, 2013 do not include the profit/loss of the former OSE for the six months from April 1, 2012 to September 30, 2012. As such, comparisons of financial results with those of the previous fiscal year are referred to "[Explanatory Material] Overview of Earnings for FY2013" which was disclosed on April 28, 2014.

The consolidated results of the JPX group during the fiscal year ended March 31, 2014 were operating revenue of ¥116,251 million (62.1% increase from the same period of last year (i.e. year-on-year)), operating expenses of ¥65,131 million (24.9% increase), operating income of ¥51,120 million (161.4% increase), and ordinary income of ¥52,801 million (144.1% increase) due to including OSE (changed a business name of it to the Osaka Exchange, Inc. on March 24, 2014) as a consolidated subsidiary in full fiscal year and changing in the situation more than the value of securities traded or volume of derivatives traded during the previous fiscal year.

Due to factors such as recording impairment losses as extraordinary loss in connection with the consolidation of system bases, income before income taxes and minority interest was ¥51,304 million (164.4% increase), and net income was ¥29,835 million (172.7% increase).

<Reference>

	Year ended March 31, 2013		Year ended March 31, 2014	
		As of March 31, 2013		As of March 31, 2014
TOPIX	695.51 points ~1,058.10 points	1,034.71 points	991.34 points ~1,306.23 points	1,202.89 points
Nikkei 225	¥8,295.63 ~¥12,635.69	¥12,397.91	¥12,003.43 ~¥16,291.31	¥14,827.83
Market capitalization *	¥244,661.9 billion ~¥373,132.5 billion	¥365,452.2 billion	¥350,135.2 billion ~¥469,458.7 billion	¥435,611.9 billion

* Market capitalization of the TSE 1st Section, 2nd Section and Mothers.

(Operating revenue)

1) Trading participant fees

Trading participant fees comprise "Basic Fees" based on the types of the trading participant's trading qualification, "Transaction Fees" based on the value of securities traded or volume of derivatives traded, "Access Fees" based on the number of orders, and "Trading System Facilities Usage Fees" based on the types of trading system facilities used.

During the fiscal year ended March 31, 2014, trading participant fees increased 81.3% year-on-year to ¥54,155 million.

Breakdown of trading participant fees

	Year ended March 31, 2013	(millions of yen)	
		Year ended March 31, 2014	Change (%)
Trading participant fees	29,868	54,155	81.3
Transaction fees	22,933	45,347	97.7
Cash equities	15,204	32,058	110.8
Derivatives	7,728	13,288	71.9
TOPIX futures	1,526	1,952	28.0
Nikkei 225 futures	2,003	4,795	139.3
Nikkei 225 options	2,210	4,661	110.9
10-year JGB futures	1,770	1,625	(8.2)
Others	217	253	16.7
Basic fees	1,107	1,183	6.9
Access fees	3,738	4,980	33.2
Trading system facilities Usage fees	2,019	2,544	26.0
Others	68	101	46.7

<Reference>

Equities trading value and derivatives trading volume or value

	Daily average			Total		
	Year ended March 31, 2013	Year ended March 31, 2014	Change (%)	Year ended March 31, 2013	Year ended March 31, 2014	Change (%)
【Cash equities】 TSE 1 st Section (¥millions)	1,500,636	2,677,054	78.4	367,655,877	655,878,243	78.4
TSE 2 nd Section (¥millions)	6,568	21,618	229.1	1,609,248	5,296,453	229.1
Mothers (¥millions)	23,668	133,773	465.2	5,798,596	32,774,501	465.2
JASDAQ (¥millions)	30,392	114,666	277.3	7,446,091	28,093,170	277.3
【Derivatives】 TOPIX futures (contracts)	68,204	94,297	38.3	16,710,007	23,102,699	38.3
Nikkei 225 futures (contracts)	89,893	124,567	38.6	22,023,678	30,519,035	38.6
Nikkei 225 mini futures (contracts)	631,941	940,514	48.8	154,825,621	230,425,970	48.8
Nikkei 225 options (¥millions)	23,539	39,959	69.8	5,767,127	9,789,980	69.8
10-year JGB futures (contracts)	38,700	34,975	(9.6)	9,481,403	8,568,919	(9.6)

* Figures indicated are the trading value of common stocks in the auction and off-auction trading. Stock trading values of the TSE 1st and 2nd Sections include those of the OSE 1st and 2nd Sections before cash market integration.

2) Listing fees

Listing fees comprise the "Initial/Additional Listing Fees" that are received based on the issue amount when a company initially lists or when a listed company issues additional shares, and "Annual Listing Fees" received from listed companies based on their market capitalization.

During the fiscal year ended March 31, 2014, listing fees increased 33.6% year-on-year to ¥12,308 million.

Breakdown of listing fees

(millions of yen)

	Year ended March 31, 2013	Year ended March 31, 2014	Change (%)
Listing fees	9,216	12,308	33.6
Initial/Additional listing fees	3,118	5,287	69.5
Annual listing fees	6,097	7,020	15.1

<Reference>

Number of listed companies, ETFs, ETNs and REITs

(Company)

	New listed companies			Total listed companies		
	Year ended March 31, 2013	Year ended March 31, 2014		As of March 31, 2013	As of March 31, 2014	
			Change			Change
TSE 1 st and 2 nd Sections	21	27	6	2,327	2,355	28
Technical listings	8	11	3			
Mothers	26	31	5	185	195	10
Technical listings	0	2	2			
JASDAQ	16	14	(2)	905	863	(42)
Technical listings	2	1	(1)			
Total	63	72	9	3,417	3,413	(4)
Technical listings	10	14	4			

(Note 1) The number of new listed companies excludes those listed via the TSE or OSE market before cash market integration. The number of total listed companies excludes companies cross-listed on the TSE or OSE market before cash market integration.

(Note 2) The number of new listed companies and total listed companies on the TSE 1st and 2nd Sections include those on the OSE 1st and 2nd Sections before cash market integration.

(Note 3) Technical listings refer to new listings of companies that were established due to mergers and stock transfers, etc.

(Issue)

	New listed issues			Total listed issues		
	Year ended March 31, 2013	Year ended March 31, 2014		As of March 31, 2013	As of March 31, 2014	
			Change			Change
ETFs	11	20	9	136	155	19
ETNs	4	9	5	14	23	9
REITs	6	5	(1)	39	44	5
Technical listings	0	0	0			

(Note 1) Include the number of new and existing listed issues on the OSE markets before cash market integration.

(Note 2) Technical listings refer to new listings of issues that were established due to mergers and stock transfers, etc.

Fund raising by listed companies

(millions of yen)

	Year ended March 31, 2013	Year ended March 31, 2014	Change (%)
Financing by listed companies	2,182,777	2,981,605	36.6

(Note) Total amount of fund-raising via shareholder allotments, public offerings (including initial public offerings), third-party allotments, preferred stocks, and convertible bonds exercise and stock options.

3) Income from information services

Income from information services is comprised of income related to the provision of corporate action information and various other information, primarily consisting of fees for market information provided to information vendors (market information fees), and also income related to the index business.

During the fiscal year ended March 31, 2014, income from information services increased 25.6% year-on-year to ¥16,116 million.

4) Income from securities settlement

Income from securities settlement is derived from settlement commissions related to the assumption of financial instrument obligations carried out by Japan Securities Clearing Corporation.

During the fiscal year ended March 31, 2014, income from securities settlement increased 86.3% year-on-year to ¥20,334 million.

5) Other operating revenue

Other operating revenue consists of "network line usage fees", "Co-location Usage Fees", "Proximity Usage Fees", and fees for system development and operations provided by TOSHO SYSTEM SERVICE CO., LTD. "Network line usage fees" related to use of the networks which connect trading systems, market information systems, etc. to trading participants and users. "Co-location Usage Fees" are those for using the service which allows trading participants to place their devices, etc. within the system center for the purpose of accelerating trade execution, etc. "Proximity Usage Fees" are those for using the proximity service which diversifies connectivity to domestic and foreign markets, and can be used by trading participants and market-related parties, such as information vendors.

During the fiscal year ended March 31, 2014, other operating revenue increased 50.2% year-on-year to ¥13,336 million.

Breakdown of other operating revenue

	Year ended March 31, 2013	(millions of yen)	
		Year ended March 31, 2014	Change (%)
Other operating revenue	8,879	13,336	50.2
Network line usage fees	3,060	3,389	10.8
Co-location Usage Fees, Proximity Usage Fees	1,855	2,566	38.3
Other	3,963	7,380	86.2

(Operating expenses)

During the fiscal year ended March 31, 2014, personnel expenses increased 17.0% year-on-year to ¥15,141 million.

System maintenance & operation costs consist of maintenance and operation costs for trading system and other systems. During the fiscal year ended March 31, 2014, system maintenance & operation costs increased 33.8% year-on-year to ¥11,642 million.

During the fiscal year ended March 31, 2014, depreciation increased 19.0% year-on-year to ¥13,413 million.

During the fiscal year ended March 31, 2014, cost of system development increased 63.0% year-on-year to ¥7,608 million.

During the fiscal year ended March 31, 2014, other operating expenses increased 18.9% year-on-year to ¥17,325 million.

(2) Explanation on Financial Position

(Assets, liabilities and equity)

Clearing deposit money, etc. (margin funds for derivatives, etc. and when-issued transactions, deposits for clearing funds, and deposits as collateral for facilitating settlement), legal guarantee funds, deposits received as trading participant security money, and default compensation reserve funds, all of which hedges risks of securities trading based on various rules, are recorded as assets and liabilities. Out of these assets and liabilities, clearing deposit money, etc. are large in amount and fluctuate daily in line with clearing participants' positions and stock price movements, and, as a result, the amounts of JPX group's assets and liabilities are significantly impacted by fluctuations in these clearing funds, etc.

Total assets as of March 31, 2014 increased ¥127,327 million from the end of the previous fiscal year to ¥1,403,713 million as a result of an increase in clearing deposit money, etc. due to increase in trading, etc. Excluding clearing deposit money, etc., legal guarantee funds, and default compensation reserve funds, assets decreased by ¥24,978 million from the end of the previous fiscal year to ¥262,570 million due to factors such as a decrease in cash deposits in connection with accelerated repayment of short-term loans.

Total liabilities as of March 31, 2014 increased ¥104,386 million from the end of the previous fiscal year to ¥1,201,694 million as a result of an increase in clearing deposit money, etc. Excluding clearing deposit money, etc., legal guarantee funds, and deposits received as trading participant security money, liabilities decreased ¥49,533 million from the end of the previous fiscal year to ¥83,716 million due to repayment of loans.

Total net assets as of March 31, 2014 increased ¥22,941 million from the end of the previous fiscal year to ¥202,018 million as the result of including net income under retained earnings. In addition, after excluding default compensation reserve funds, total net assets were ¥174,070 million.

<Reference>

	Total assets	Total net assets	Equity capital ratio	Net assets per share
	million yen	million yen	%	%
As of March 31, 2014	1,403,713	202,018	14.0	715.19
	*1) 262,570	*2) 174,070	*3) 64.1	*3) 613.39
As of March 31, 2013	1,276,386	179,077	13.8	643.01
	*1) 287,548	*2) 151,129	*3) 51.7	*3) 541.21

(Notes)

- 1) Figures marked “*1)” under “Total assets” exclude clearing deposit money, etc., legal guarantee funds, and default compensation reserve funds (hereinafter collectively “specified assets”).
- 2) Figures marked “*2)” under “Total net assets” exclude default compensation reserve funds.
- 3) Figures marked “*3)” under “Equity capital ratio” and “Net assets per share” are calculated excluding specified assets from total assets, and excluding default compensation reserve funds from total net assets.

(Cash flow)

During the fiscal year ended March 31, 2014, cash and cash equivalents increased ¥21,404 million from the end of the previous fiscal year to ¥50,713 million due to considerable cash inflow from operating activities.

1) Cash flow in operating activities

There was cash inflow of ¥62,722 million from operating activities mainly as a result of adding ¥13,792 million in depreciation and amortization and ¥11,542 million in income taxes paid to ¥51,304 million in income before income taxes and minority interests.

2) Cash flow in investing activities

There was cash inflow of ¥30,035 million from investing activities mainly because proceeds from withdrawal of time deposits exceeded payments into time deposits by 38,400 million yen.

3) Cash flow in financing activities

There was cash outflow of ¥71,362 million from financing activities mainly due to repayment of long-term loans payable.

<Reference> Cash flow-related indicators

	Year ended March 31, 2013	Year ended March 31, 2014
Equity capital ratio (%)	13.8%	14.0%
	51.7%	*64.1%
Ratio of interest-bearing debt to cash flow	439.1%	67.8%
Interest coverage ratio	215.8	766.1

Equity capital ratio: shareholders' equity / total assets

Ratio of interest-bearing debt to cash flow: interest-bearing debt / operating cash flow

Interest coverage ratio: operating cash flow / interest payment

* "Equity capital ratio" are calculated excluding margin funds for derivatives, etc. and when-issued transactions, deposits for clearing funds, deposits as collateral for facilitating settlement, legal guarantee funds and default compensation reserve funds from total assets, and excluding default compensation reserve funds from total net assets.

(3) Explanation on Forecast Information such as Consolidated Earnings Forecast, etc.

(i) Consolidated Earnings Forecast

The consolidated earnings forecast is based on the assumptions that the average daily trading values and volumes are ¥2.1 trillion for stocks*, 36,000 contracts for 10-year JGB futures, 104,000 contracts for TOPIX futures, 211,000 contracts for Nikkei 225 futures (including mini contract trading volume converted to large-sized contracts), and ¥35.5 billion for Nikkei 225 options. Based on the assumptions, ¥93.0 billion for operating revenue, ¥34.5 billion for operating income, ¥36.5 for ordinary income, and ¥21.0 billion for net income are expected.

* The trading value of stocks listed on the TSE First and Second Section, Mothers, JASDAQ, TOKYO PRO Market, ETF, ETN and REIT (including auction and off-auction trading).

JPX will be voluntarily adopting International Financial Reporting Standards (hereinafter “IFRS”) from the fiscal year ending March 2015 onward. The consolidated earnings forecast is expected to increase ¥3.5 billion of each profit due to goodwill not being subject to amortization (¥3.44 billion per year) after IFRS adoption, a key difference from Japanese accounting standards. The consolidated earnings forecast that takes into account the impact of IFRS adoption is as follows.

	Operating revenue	Operating income	Ordinary income	Net income	Net income per share
	million yen	million yen	million yen	million yen	yen
For Year ending March 31, 2015	93,000	38,000	40,000	24,500	89.24

In addition, due to the planned adoption of IFRS and the large impact of short-term market conditions on earnings, only full-year earnings forecasts are presented.

(ii) Dividends Forecast

The dividends payout ratio of Japan Exchange Group, Inc. is targeted at approximately 40% based on our policy of stable and continuous dividends payment, giving due consideration to the importance of internal reserves for system development aimed at enhancing competitiveness and self-regulatory functions as an exchange, and for provision against risks as a clearing organization.

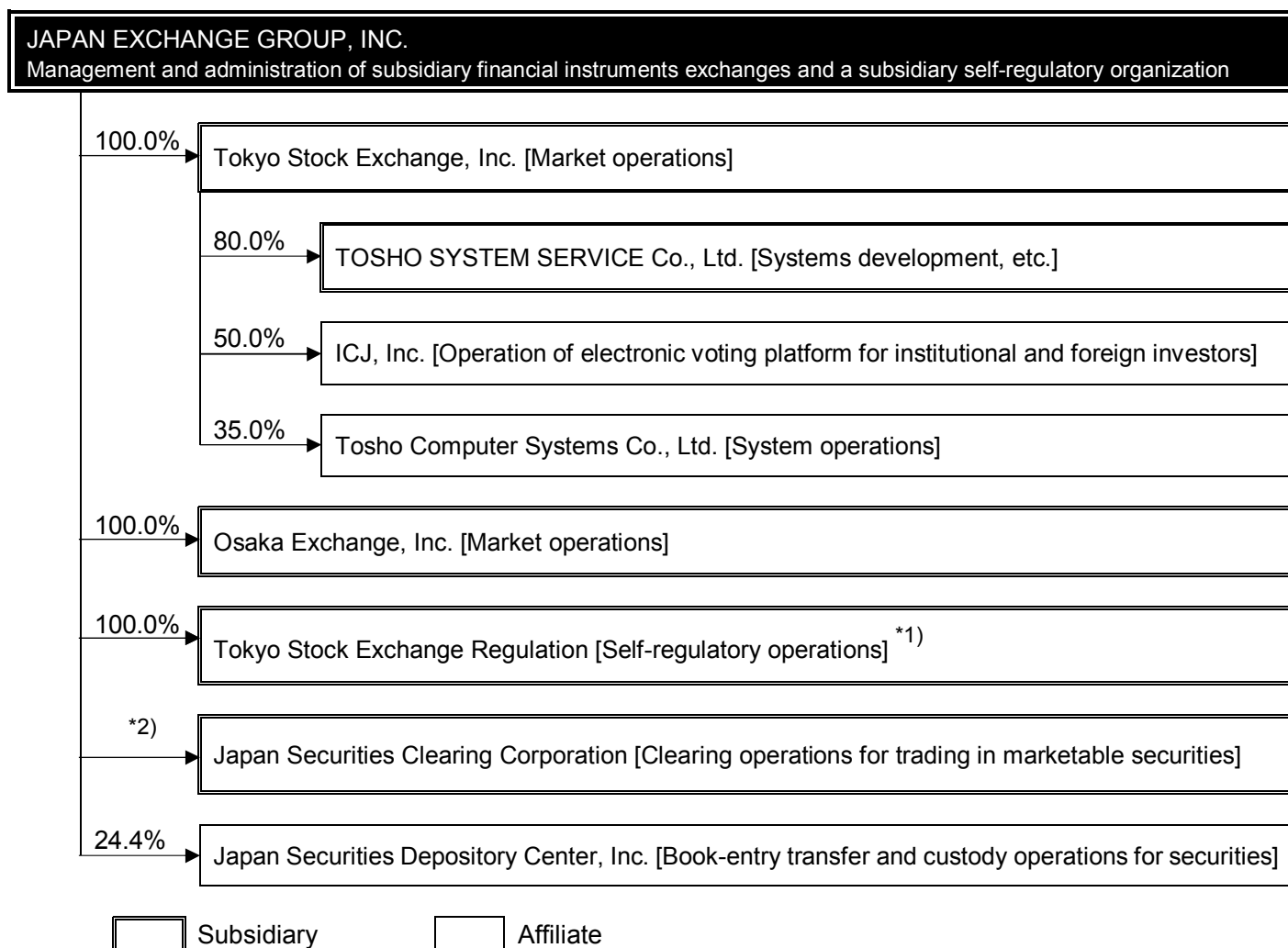
In addition, JPX will be voluntarily adopting IFRS from the fiscal year ending March 2015 onward. The dividends for the fiscal year ending March 31, 2015 is planned to be 36 yen per share (18 yen per share as of the end of the second quarter) based on the 24.5 billion yen net income forecast after IFRS adoption. The corresponding dividend payout ratio will be 40.3%.

2. INFORMATION REGARDING CORPORATE GROUP

JPX's operations are management and administration of subsidiary financial instruments exchanges and a subsidiary self-regulatory organization.

JPX group comprises five subsidiaries and three affiliates, and its primary operations are the development and operation of markets for exchange-traded financial instruments. Specifically, these includes operations such as (i) providing market facilities for securities trading, securities index futures trading, and securities options trading, (ii) publicizing market quotations and ensuring fairness of securities trading, and (iii) providing financial instruments obligation assumption services.

An outline of the JPX group is shown below.



(As of March 31, 2014)

* Percentages indicate share of voting right.

^{*1)} Tokyo Stock Exchange Regulation was renamed Japan Exchange Regulation on April 1, 2014.

^{*2)} Class A shares: 99.2% / Class B shares: 100.0% / Class C shares: 58.2% / Class D shares: 52.9%

3. MANAGEMENT POLICIES

Please refer to the “Japan Exchange Group Update of Medium-Term Management Plan for FY2013 to FY2015” published on April 28, 2014.

4. CONSOLIDATED FINANCIAL STATEMENTS

(1) Consolidated Balance Sheets

(millions of yen)

	As of March 31,2013	As of March 31,2014
Assets		
Current assets		
Cash and deposits	120,808	103,813
Operating accounts receivable	8,716	8,995
Securities	—	802
Work in process	2,467	61
Deferred tax assets	1,282	2,168
Margin funds for derivatives,etc. and when-issued transactions	789,201	913,437
Deposits for clearing funds	161,086	188,734
Deposits as collateral for facilitating settlement	10,000	10,500
Other	1,912	2,729
Allowance for doubtful accounts	(9)	(12)
Total current assets	1,095,466	1,231,231
Non-current assets		
Property, plant and equipment		
Buildings and structures	9,207	8,170
Accumulated depreciation	(6,681)	(6,750)
Buildings and structures, net	2,525	1,419
Land	1,587	1,297
Construction in progress	—	26
Other	19,776	16,867
Accumulated depreciation	(15,216)	(12,544)
Other, net	4,560	4,322
Total property, plant and equipment	8,673	7,066
Intangible assets		
Goodwill	67,374	63,932
Other	23,370	23,878
Total intangible assets	90,744	87,810
Investments and other assets		
Investment securities	41,304	37,344
Long-term loans receivable	37	29
Deferred tax assets	2,682	3,006
Net defined benefit asset	—	2,914
Legal guarantee funds	600	522
Special assets for default compensation reserve funds	27,948	27,948
Other	9,105	5,977
Allowance for doubtful accounts	(177)	(138)
Total investments and other assets	81,501	77,605
Total non-current assets	180,919	172,482
Total assets	1,276,386	1,403,713

(millions of yen)

	As of March 31,2013	As of March 31,2014
Liabilities		
Current liabilities		
Operating accounts payable	3,221	2,994
Short-term loans payable	18,670	32,500
Current portion of long-term loans payable	86,399	—
Income taxes payable	6,312	17,600
Provision for bonuses	1,223	1,420
Provision for directors' bonuses	252	366
Margin funds received for derivatives,etc. and when-issued transactions	789,201	913,437
Deposits received for clearing funds	161,086	188,734
Deposits received as collateral for facilitating settlement	10,000	10,500
Deposits received as trading participant security money	3,169	4,783
Other	3,620	5,937
Total current liabilities	1,083,157	1,178,274
Non-current liabilities		
Long-term loans payable	—	10,000
Deferred tax liabilities	5,047	4,448
Provision for retirement benefits	7,580	—
Net defined benefit liability	—	7,465
Returnable legal guarantee funds	600	522
Other	922	983
Total non-current liabilities	14,151	23,420
Total liabilities	1,097,308	1,201,694
Net assets		
Shareholders' equity		
Capital stock	11,500	11,500
Capital surplus	59,726	59,726
Retained earnings	96,213	117,264
Treasury shares	—	(5)
Total shareholders' equity	167,440	188,485
Accumulated other comprehensive income		
Valuation difference on available-for-sale securities	9,088	8,006
Remeasurements of defined benefit plans	—	(149)
Total accumulated other comprehensive income	9,088	7,857
Minority interests	2,548	5,675
Total net assets	179,077	202,018
Total liabilities and net assets	1,276,386	1,403,713

(2) Consolidated Statements of Income
and Consolidated Statements of Comprehensive Income
(Consolidated Statements of Income)

(millions of yen)

	Financial year ended March 31, 2013	Financial year ended March 31, 2014
Operating revenue		
Trading participant fees	29,868	54,155
Listing fees	9,216	12,308
Income from information services	12,828	16,116
Income from securities settlement	10,916	20,334
Other	8,879	13,336
Total operating revenue	71,708	116,251
Operating expenses		
Personnel expenses	12,945	15,141
System maintenance & operation costs	8,699	11,642
Depreciation	11,275	13,413
Cost of system development	4,666	7,608
Other	14,565	17,325
Total operating expenses	52,152	65,131
Operating income	19,555	51,120
Non-operating income		
Interest income	306	248
Dividend income	949	1,275
Share of profit of entities accounted for using equity method	395	55
Other	604	206
Total non-operating income	2,255	1,786
Non-operating expenses		
Interest expenses	110	81
Share issuance cost	17	14
Office transfer related expenses	44	—
Other	6	8
Total non-operating expenses	180	105
Ordinary income	21,631	52,801
Extraordinary losses		
Impairment loss	1,554	1,203
Extra retirement payments	—	203
Business consolidation costs	673	—
Other	—	89
Total extraordinary losses	2,227	1,497
Income before income taxes and minority interests	19,404	51,304
Income taxes - current	8,640	22,357
Income taxes - deferred	(571)	(1,125)
Total income taxes	8,068	21,231
Income before minority interests	11,336	30,072
Minority interests in income	394	236
Net income	10,941	29,835

(Consolidated Statements of Comprehensive Income)

(millions of yen)

	Financial year ended March 31, 2013	Financial year ended March 31, 2014
Income before minority interests	11,336	30,072
Other comprehensive income		
Valuation difference on available-for-sale securities	4,214	(1,082)
Share of other comprehensive income of entities accounted for using equity method	0	0
Total other comprehensive income	4,214	(1,082)
Comprehensive income	15,550	28,990
Comprehensive income attributable to		
Comprehensive income attributable to owners of parent	15,156	28,753
Comprehensive income attributable to minority interests	394	236

(3) Consolidated Statements of Change in Equity
Financial year ended March 31, 2013

(millions of yen)

	Shareholders' equity				
	Capital stock	Capital surplus	Retained earnings	Treasury shares	Total shareholders' equity
Balance at beginning of current period	11,500	25,358	87,205	(4,332)	119,731
Changes of items during period					
Dividends of surplus			(1,932)		(1,932)
Net income			10,941		10,941
Increase by merger		34,367		4,332	38,700
Net changes of items other than shareholders' equity					—
Total changes of items during period	—	34,367	9,008	4,332	47,708
Balance at end of current period	11,500	59,726	96,213	—	167,440

	Accumulated other comprehensive income		Minority interests	Total net assets
	Valuation difference on available-for-sale securities	Total accumulated other comprehensive income		
Balance at beginning of current period	4,873	4,873	2,516	127,122
Changes of items during period				
Dividends of surplus		—		(1,932)
Net income		—		10,941
Increase by merger		—		38,700
Net changes of items other than shareholders' equity	4,214	4,214	31	4,246
Total changes of items during period	4,214	4,214	31	51,955
Balance at end of current period	9,088	9,088	2,548	179,077

Financial year ended March 31, 2014

(millions of yen)

	Shareholders' equity				
	Capital stock	Capital surplus	Retained earnings	Treasury shares	Total shareholders' equity
Balance at beginning of current period	11,500	59,726	96,213	—	167,440
Changes of items during period					
Dividends of surplus			(8,785)		(8,785)
Net income			29,835		29,835
Purchase of treasury shares				(5)	(5)
Net changes of items other than shareholders' equity					—
Total changes of items during period	—	—	21,050	(5)	21,045
Balance at end of current period	11,500	59,726	117,264	(5)	188,485

	Accumulated other comprehensive income			Minority interests	Total net assets
	Valuation difference on available-for-sale securities	Remeasurements of defined benefit plans	Total accumulated other comprehensive income		
Balance at beginning of current period	9,088	—	9,088	2,548	179,077
Changes of items during period					
Dividends of surplus			—		(8,785)
Net income			—		29,835
Purchase of treasury shares			—		(5)
Net changes of items other than shareholders' equity	(1,082)	(149)	(1,231)	3,127	1,896
Total changes of items during period	(1,082)	(149)	(1,231)	3,127	22,941
Balance at end of current period	8,006	(149)	7,857	5,675	202,018

(4) Consolidated Statements of Cash Flows

(millions of yen)

	Financial year ended March 31, 2013	Financial year ended March 31, 2014
Cash flows from operating activities		
Income before income taxes and minority interests	19,404	51,304
Depreciation	11,523	13,792
Impairment loss	1,554	1,203
Amortization of goodwill	1,474	3,442
Increase (decrease) in allowance for doubtful accounts	(23)	(8)
Increase (decrease) in provision for bonuses	87	197
Increase (decrease) in provision for directors' bonuses	55	113
Increase (decrease) in provision for retirement benefits	210	—
Increase (decrease) in net defined benefit liability	—	(337)
Decrease (increase) in net defined benefit asset	—	(5)
Interest and dividend income	(1,256)	(1,524)
Interest expenses	110	81
Share of (profit) loss of entities accounted for using equity method	(395)	(55)
Decrease (increase) in operating receivables	(2,755)	(166)
Decrease (increase) in inventories	(1,153)	2,405
Increase (decrease) in operating debt	25	(245)
Other, net	1,075	2,345
Subtotal	29,936	72,544
Interest and dividend income received	1,420	1,802
Interest expenses paid	(108)	(82)
Income taxes paid	(7,321)	(11,542)
Net cash provided by (used in) operating activities	23,928	62,722
Cash flows from investing activities		
Payments into time deposits	(121,300)	(65,700)
Proceeds from withdrawal of time deposits	95,900	104,100
Proceeds from redemption of securities	1,011	—
Purchase of property, plant and equipment	(994)	(1,808)
Proceeds from sales of property, plant and equipment	—	0
Purchase of intangible assets	(5,583)	(9,825)
Purchase of investment securities	(135)	(533)
Proceeds from sales of investment securities	—	100
Purchase of shares of subsidiaries resulting in change in scope of consolidation	(81,621)	—
Proceeds from purchase of shares of subsidiaries resulting in change in scope of consolidation	—	3,592
Proceeds from withdrawal of long-term deposits	3,000	—
Other, net	64	109
Net cash provided by (used in) investing activities	(109,659)	30,035
Cash flows from financing activities		
Increase in short-term loans payable	18,670	32,500
Decrease in short-term loans payable	(17,570)	(18,670)
Proceeds from long-term loans payable	86,399	10,000
Repayments of long-term loans payable	(0)	(86,399)
Purchase of treasury shares	—	(5)
Cash dividends paid	(1,932)	(8,785)
Cash dividends paid to minority shareholders	(407)	(2)
Proceeds from share issuance to minority shareholders	2,090	—
Net cash provided by (used in) financing activities	87,248	(71,362)
Effect of exchange rate change on cash and cash equivalents	11	8
Net increase (decrease) in cash and cash equivalents	1,529	21,404
Cash and cash equivalents at beginning of period	27,779	29,308
Cash and cash equivalents at end of period	29,308	50,713

(5) Note on Consolidated Financial Statements

(Note on Going-concern Assumption)

Not applicable

(Changes in accounting policies)

The Accounting Standard for Retirement Benefits and its Implementation Guidance (ASBJ Statement No. 26, May 17, 2012; hereafter "Accounting Standard for Retirement Benefits") and the Guidance on Accounting Standard for Retirement Benefits (ASBJ Guidance No. 25, May 17, 2012; hereafter "Guidance on Retirement Benefits") have been applied (excluding the provisions in the first sentence of Paragraph 35 of the Accounting Standard for Retirement Benefits and the first sentence of Paragraph 67 of the Guidance on Retirement Benefits) from the end of this consolidated accounting year. As such, retirement benefit liabilities less annuity assets are recognized under net defined benefit liability, and unrecognized actuarial gains or losses and unrecognized prior service costs are included in net defined benefit asset and net defined benefit liability.

The Accounting Standard for Retirement Benefits is applied in accordance with temporary treatment in Paragraph 37 thereof, and the changes in amounts due to the change in accounting policy are reflected in the remeasurements of defined benefit plans under accumulated other comprehensive income.

As a result, for the end of this consolidated accounting year, ¥2,914 million was included in net defined benefit asset, ¥7,465 million was included in net defined benefit liability, while accumulated other comprehensive income decreased ¥149 million.

The effect on per share information is not significant.

(Changes in accounting estimates)

In the consolidated second quarter accounting period, Osaka Exchange, Inc. a consolidated subsidiary, conducted a review of the useful life of the fixed assets whose period of use became shorter due to the decision to transition to other systems.

Due to this review, operating income, ordinary income, and income before income taxes and minority interests during the fiscal year ended March 31, 2014 decreased ¥695 million respectively in comparison with those calculated by the previous method.

(Segment Information, etc.)

It has been omitted due to single segment of the market operations in the company.

(Per Share Information)

	Fiscal year ended March 31, 2013	Fiscal year ended March 31, 2014
Net assets per share	¥643.01	¥715.19
Net income per share	¥64.59	¥108.68

(Notes)

1. Diluted net income per share is not shown due to the fact that no residual securities exist.
2. The Company conducted a 5-for-1 stock split on October 1, 2013. The amounts for net assets per share and net income per share were calculated based on the assumption that said stock split was conducted at the beginning of the preceding fiscal year..
3. The basis for calculation of the net income per share is as follows:

	Fiscal year ended March 31, 2013	Fiscal year ended March 31, 2014
Net income (millions of yen)	10,941	29,835
Less components not pertaining to common shareholders (millions of yen)	—	—
Net income pertaining to common stock (millions of yen)	10,941	29,835
Average outstanding shares of common stock (thousands of shares)	169,405	274,533

(Significant Subsequent Events)

Not applicable

DISCLAIMER: This translation may be used for reference purposes only. This English version is not an official translation of the original Japanese document. In cases where any differences occur between the English version and the original Japanese version, the Japanese version shall prevail. This translation is subject to change without notice. Japan Exchange Group, Inc., and/or its affiliates shall individually or jointly accept no responsibility or liability for damage or loss caused by any error, inaccuracy, misunderstanding, or changes with regard to this translation.